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TMT Webcast | Asia Pacific

Memory Cycle Debates & Key Stock Ideas

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GREATER CHINA TECHNOLOGY HARDWARE	
Asia Pacific	
Industry View	In-Line

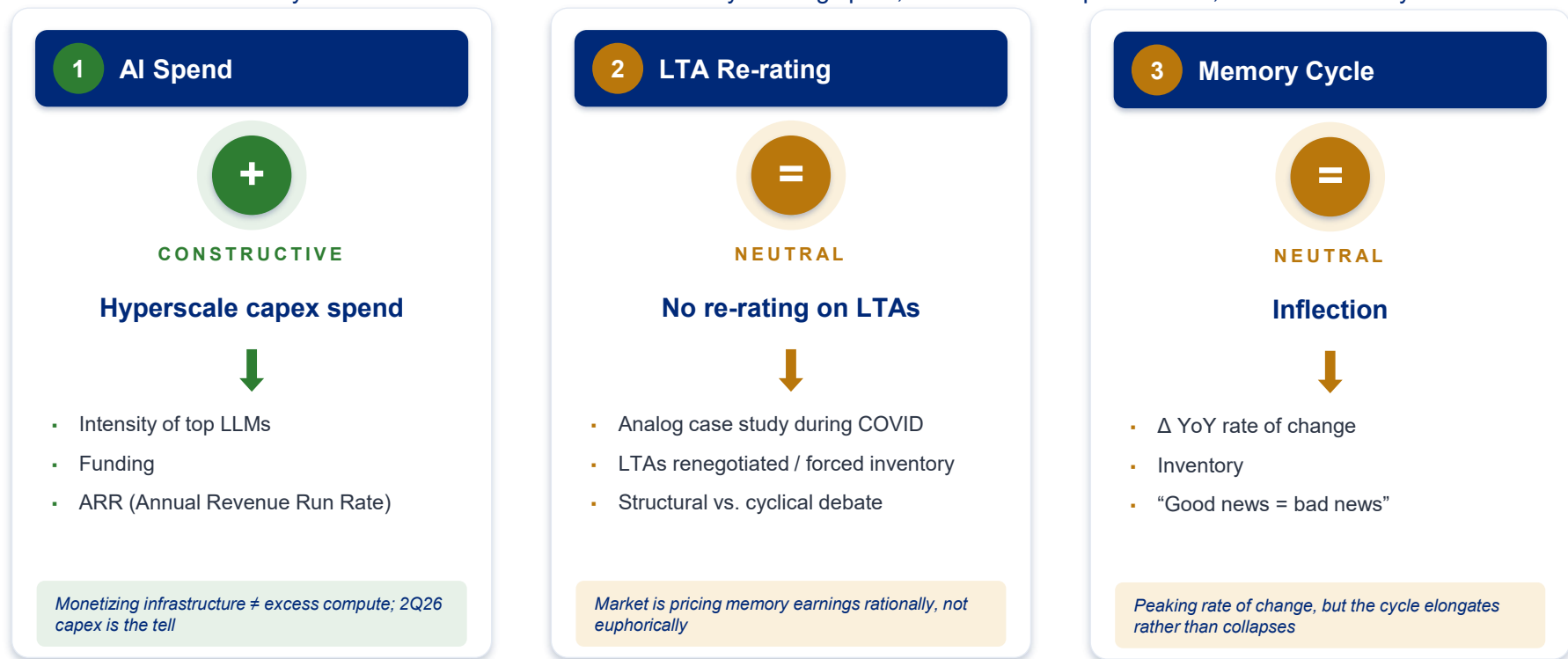
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Memory – Changing Tides: Three Debates Framing the Cycle

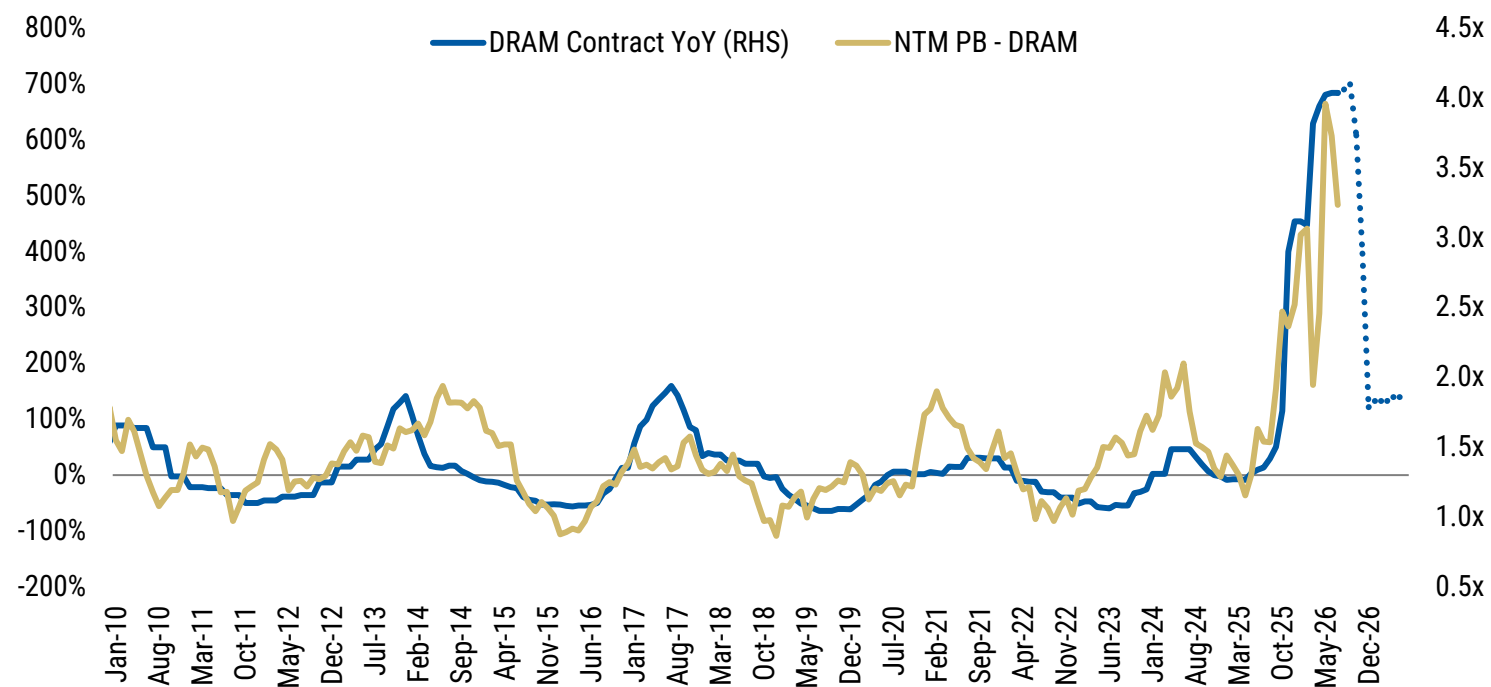
How we frame the memory debate for investors – where the money is being spent, how the market prices LTAs, and where the cycle now sits.



Source: Morgan Stanley Research.

Memory Pricing Likely to Peak in 4Q26

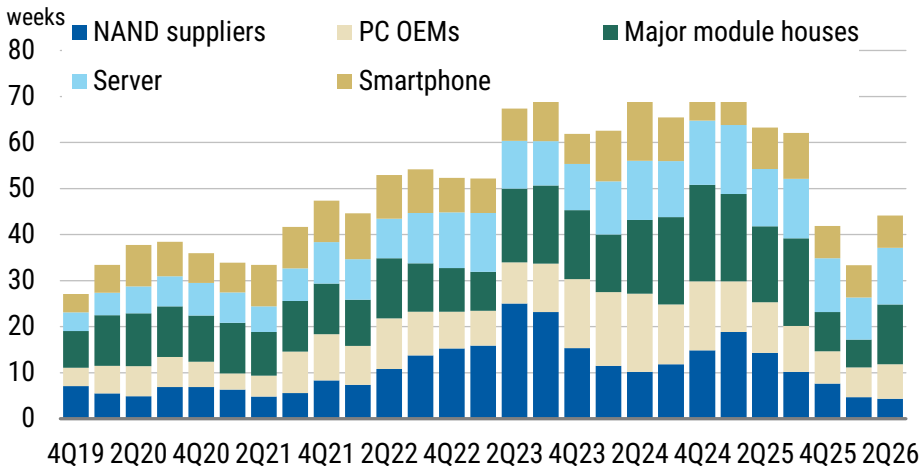
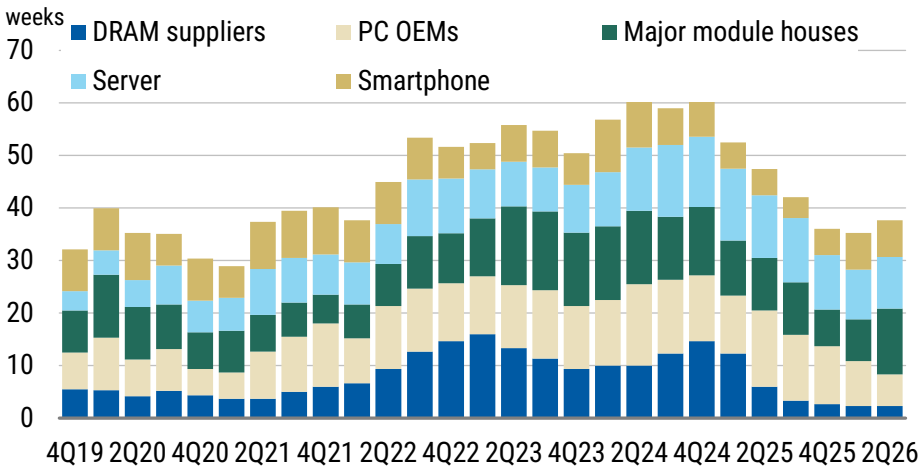
DRAM contract price YoY is rolling over from cyclical peaks, while valuation (NTM P/B) has yet to re-rate – consistent with pricing peaking around 4Q26.



Source: Trendforce, FactSet, Morgan Stanley Research. Note: dotted line is Morgan Stanley Research forecast.

DRAM & NAND Inventory Picked up in 2Q26

...primarily driven by module houses.



Source: Trendforce, Morgan Stanley Research estimates.

NAND: YMTC Supply vs. Demand Scenario Analysis

- **Capacity:** YMTC is building Fab4 and Fab5 (~100kwpm each); dedicating all five announced fabs to NAND could take it to ~24% of global NAND share.
- **Base case:** non-AI NAND demand +5% YoY and AI SSD demand +30-60% YoY in 2028, vs. YMTC capacity of 310kwpm (base) to 470kwpm (max).
- **Bottom line:** NAND stays tight into 2028 if AI capex keeps growing and YMTC stays disciplined; faster greenfield expansion is the key oversupply risk.

		AI SSD demand growth % YoY in 2028			
YMTC Capacity kwpm in 2028e		30%	40%	50%	60%
	310	-1%	-2%	-4%	-6%
	330	0%	-1%	-3%	-4%
	350	2%	0%	-2%	-3%
	370	3%	1%	-1%	-2%
	390	4%	2%	1%	-1%
	410	5%	4%	2%	0%
	430	7%	5%	3%	1%
	450	8%	6%	4%	3%
	470	9%	7%	5%	4%

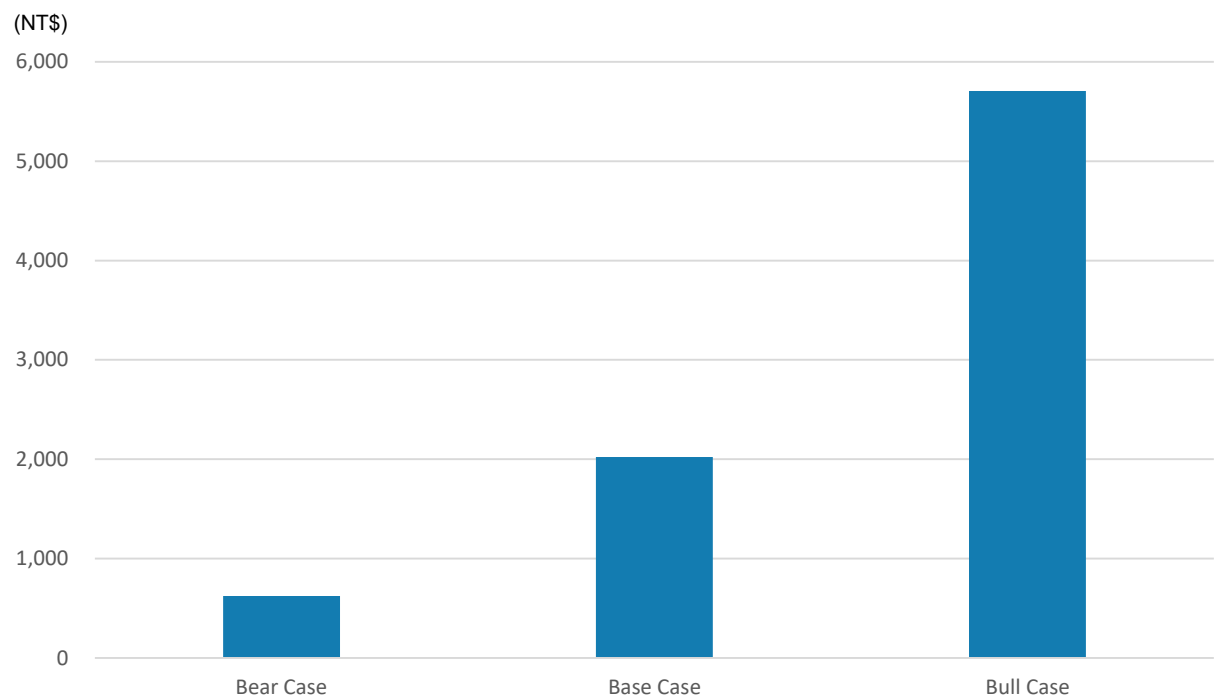
Source: Company data, Morgan Stanley Research.

Largan: Assessing Potential Positive Impact from FAU Opportunity

	2026E	2027E	2028E
Optical Engine Volume (mn)	0.39	7.78	48.60
FAU Volume (mn units)	0.39	7.78	48.60
ASP (USD)	100	100	100
Total TAM (US\$ mn)	39	778	4,860
Largan's Market Share	0%	5%	20%
FAU Revenue for Largan (US\$ mn)	0	39	972
Net Margin	n.a.	10%	30%
FAU Earnings for Largan (US\$ mn)	n..a	4	292
Assumed Forward P/E			35
Market Cap in USD (mn)			10,206
Market Cap in TWD (mn)			326,592
Per share impact	2,022	2,225	2,447

Source: Company data, Morgan Stanley Research (E) estimates.

Largan: Bull, Base, Bear Case Scenarios for FAU Opportunity



Source: Company data, Morgan Stanley Research (E) estimates.

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(as of June 30, 2026)

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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$38.18
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb216.00
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$21.46
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.03
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.79
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb512.50
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$609.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb21.82
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.28
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.19
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,345.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.19
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb13.64
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb58.98
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb8.79
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.50
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb52.30
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$30.38
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb64.43
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$55.05
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb259.31
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb21.10
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$25.84
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb381.87
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$139.70
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb111.22
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb29.66

Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,108.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$24.92
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb40.04
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,405.00
Advantech (2395.TW)	O (01/20/2021)	NT\$536.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,320.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,225.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$29.25
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$905.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$1,865.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb6.83
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,135.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$1,850.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,890.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$196.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$60.90
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,410.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$332.00
Innolux (3481.TW)	E (04/07/2025)	NT\$61.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$8,080.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb39.53
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$222.00
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$90.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.81
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb7.16
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb297.10
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.95
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$704.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$192.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$36.65
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.99
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb63.08
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$335.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,045.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$236.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb85.49
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$1,990.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$23.30

Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,980.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,270.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$82.60
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$378.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb134.45
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb393.59
Unimicron (3037.TW)	O (02/23/2026)	NT\$903.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$329.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$143.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$4,960.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$816.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$646.00

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* Historical prices are not split adjusted.